



INTEREST PAID ON MORTGAGES

Making money

Banks make money from loans by charging interest, from current accounts by charging fees and overdraft penalties, and from business accounts through transaction charges.



INTEREST PAID ON LOANS



OVERDRAFT CHARGES



CHARGES FOR TRANSACTIONS ON BUSINESS ACCOUNTS



MONTHLY OR ANNUAL FEES ON SAVINGS ACCOUNTS



INTEREST RATES ON SAVINGS ACCOUNTS



DIVIDENDS TO SHAREHOLDERS

Paying money

Banks pay interest on savings accounts, and usually on credit balances in current accounts. They also pay dividends to shareholders out of their profits.



ANNUAL FEES AND MONTHLY CHARGES ON CREDIT CARDS

Capital reserve

A sum of money that a bank is not permitted to lend or invest. Banks keep capital reserves to protect themselves from mass withdrawals by customers or heavy losses from bad loans. The reserves are typically a fraction of deposits.

Bank